

HDFCBANK — deep fundamental & forensic brief (standalone)

Report generated 29-Sep-2026. All figures ₹ crore unless noted. History depth is data-bound: P&L is multi-year; balance sheet & cash flow are present only for years where the result XBRL carried them (typically FY2023+).

Business overview

What the company does

HDFC Bank is India's largest private sector bank by assets. The bank provides a full suite of financial products and services by taking deposits from individuals and businesses and offering loans (advances), transaction services, and wealth management solutions. It earns revenue primarily from the net interest margin—the spread between the interest it earns on loans and the interest it pays on deposits—as well as from fees and commissions on services like credit cards, loan processing, and third-party product distribution.

Business segments & revenue mix

HDFC Bank reports its results across four main segments. The revenue mix for the full financial year ended March 31, 2026, was as follows (based on Segment Revenue from Standalone Financial Results):

- **Retail Banking:** ~50.5% of revenue. This segment serves retail customers through a large network of branches and digital channels, offering products like savings accounts, various types of loans (home, auto, personal), and credit cards.
- **Wholesale Banking:** ~29.2% of revenue. This provides loans, credit, and transaction services to large corporates, emerging corporates, public sector units, and financial institutions.
- **Treasury:** ~14.1% of revenue. This segment consists of the bank's investment portfolio, money market lending and borrowing, and foreign exchange and derivatives trading.
- **Other Banking Operations:** ~6.2% of revenue. This includes non-core banking activities like para-banking services (e.g., credit card business).

Market size & positioning

With a market capitalisation of **~₹1,106,862 crore**, HDFC Bank is a systemically important financial institution in India. While the bank does not disclose a total addressable market figure, its management has stated it aims to grow faster than the overall banking system, which it estimated grew at 13.5-13.9% in FY26, while the bank's own advances grew by 12% (Q4 FY26 Earnings Call).

The bank holds a dominant market share in several key product areas:

- **Cards:** The bank accounts for ~21-22% of credit card issuances, ~26-28% of total card spending, and ~35-36% of merchant acquiring transaction value in India (Q4 FY26 Earnings Call).
- **Trade Finance:** It facilitates ~18-20% of India's exports and ~13-15% of its imports (Q4 FY26 Earnings Call).
- **Mortgages & MSME:** Following its merger with HDFC Ltd., the bank is among the top two mortgage lenders and MSME banks in the country (Q4 FY26 Earnings Call).

Despite its large base of over 100 million customers, the bank sees significant runway for growth. Management notes that only 14% of its existing customers have a time deposit with the bank, presenting a large cross-sell opportunity (Q1 FY27 Earnings Call). Furthermore, synergies from the HDFC Ltd. merger are still unfolding, with liability account penetration for former HDFC home loan customers increasing from 36% to over 60% since the merger, indicating further room for deepening relationships (Q4 FY26 Earnings Call).

 **This is a bank**, so it's read on a bank's numbers — its earnings engine (net interest income), asset quality (bad loans), capital and funding — rather than the industrial yardsticks (EBITDA, working-capital days, free cash flow) that don't fit a lender, whose raw material is deposits and whose product is loans.

1. Income statement (bank)

₹ crore	FY2023	FY2024	FY2025	FY2026
Interest earned	161,586	258,341	300,517	307,522
Interest expended	74,743	149,808	177,847	178,836
Net interest income (NII)	86,842	108,532	122,670	128,686
Other income (fees, treasury, recoveries)	31,215	49,241	45,632	62,533
Operating expenses	47,652	63,386	68,175	72,660
of which employee cost	15,512	22,240	23,901	26,050
Operating profit before provisions (PPOP)	70,405	94,387	100,127	118,558
Provisions & contingencies	11,920	23,492	11,649	23,390
Profit before tax	58,485	70,895	88,478	95,169
Tax	14,377	10,083	21,131	20,497
Net profit (PAT)	44,109	60,812	67,347	74,671

2. Margins, returns & growth

Metric	FY2023	FY2024	FY2025	FY2026
NIM (NII ÷ avg total assets)	n/a	3.00%	3.26%	3.11%

Metric	FY2023	FY2024	FY2025	FY2026
Cost-to-income	40.4%	40.2%	40.5%	38.0%
Credit cost (provisions ÷ avg loans)	n/a	0.95%	0.46%	0.84%
ROA	n/a	1.68%	1.79%	1.80%
ROE	n/a	13.9%	14.4%	14.1%
Other income ÷ (NII + other income)	26.4%	31.2%	27.1%	32.7%
NII YoY	n/a	25.0%	13.0%	4.9%
PPOP YoY	n/a	34.1%	6.1%	18.4%
PAT YoY	n/a	37.9%	10.7%	10.9%

How to read this. **NII** is the bank's gross margin in rupees — what it earns on loans and investments minus what it pays depositors. **NIM** is that as a % of assets (here on total assets; the bank's own figure, on interest-earning assets, runs a little higher). **Cost-to-income** is how much of each rupee of income goes on running the bank — under ~45% is efficient. **Credit cost** is the year's provisions for bad loans as a % of loans — the single biggest swing factor in bank profits. **ROA** above ~1.5% is top-tier for an Indian bank; **ROE** is what shareholders earn on their capital and is what the P/B in \$10 has to be justified by.

3. Balance sheet (bank)

₹ crore	FY2024	FY2025	FY2026
Advances (loans)	2,484,862	2,619,609	2,937,166
Investments	702,415	836,360	884,201
Total assets	3,617,623	3,910,199	4,364,886
Deposits	2,379,786	2,714,715	3,105,250
Borrowings	662,153	547,931	489,395
Net worth (capital + reserves)	437,593	497,619	558,356
Book value per share (₹)	576.0	650.3	362.7

Share count rose ~2× in FY2026 (a bonus issue or split), so book value per share isn't comparable across that year — net worth itself kept growing.

4. Asset quality — bad loans

Metric	FY2023	FY2024	FY2025	FY2026
Gross NPA (₹ cr)	18,019	31,173	35,223	34,061
Gross NPA %	1.12%	1.24%	1.33%	1.15%
Net NPA (₹ cr)	4,368	8,092	11,320	11,170
Net NPA %	0.27%	0.33%	0.43%	0.38%
Provision coverage (PCR)	75.8%	74.0%	67.9%	67.2%

How to read this. A **non-performing asset (NPA)** is a loan that has stopped paying (90+ days overdue). **Gross NPA %** is the share of all loans gone bad; **net NPA %** is what's left after the bank has already set money aside (provisions) against them — the part that could still hurt profit. **Provision coverage** is how much of the bad loans is already provided for: above ~70% is a thick cushion. The direction matters more than the level — rising NPAs lead rising credit costs by a few quarters.

5. Capital & funding

Metric	FY2023	FY2024	FY2025	FY2026
CET1 ratio	19.3%	18.8%	19.6%	19.7%
Tier-1 ratio	19.3%	18.8%	19.6%	19.7%
Credit-deposit (CD) ratio	n/a	104.4%	96.5%	94.6%
Advances (loan) growth YoY	n/a	n/a	5.4%	12.1%
Deposit growth YoY	n/a	n/a	14.1%	14.4%

How to read this. **CET1** is the bank's core equity as a % of its risk-weighted loans — its loss-absorbing cushion. RBI's floor, including the conservation buffer, is 8%; well above that means room to grow without raising fresh equity. The **CD ratio** is loans ÷ deposits: above ~90% the bank is lending faster than it gathers deposits and has to lean on costlier borrowings, which squeezes margins. Loan growth running far ahead of deposit growth is the same warning in motion.

6. Cash flow — context only for a bank

A bank's operating cash flow mostly records deposits coming in and loans going out, so it swings with balance-sheet growth rather than with how well profit turns into cash. CFO ÷ PAT, free cash flow and accruals therefore aren't earnings-quality signals for a bank and are left out.

7. Why the industrial ratios are left out

EBITDA, interest cover, debt ÷ equity, working-capital days and the Altman / Piotroski / Beneish scores all assume an industrial balance sheet — inventories, receivables, borrowings used to fund a plant. For a bank, interest paid is its cost of raw material and deposits are not 'debt' in that sense, so those numbers would mislead (every bank would look dangerously over-borrowed). The bank measures above, and the health checks in §9, replace them.

8. Quarterly trend (last 6q)

Quarter	2025-03-31	2025-06-30	2025-09-30	2025-12-31	2026-03-31	2026-06-30
Interest earned (₹cr)	77,460	77,470	76,691	76,751	76,610	79,363
NII (₹cr)	32,066	31,438	31,552	32,615	33,082	33,534
NII YoY	n/a	n/a	n/a	n/a	3.2%	6.7%
Other income (₹cr)	12,028	21,730	14,350	13,254	13,199	12,822
PPOP (₹cr)	26,537	35,734	27,924	27,098	27,803	28,168
Provisions (₹cr)	3,193	14,442	3,501	2,838	2,610	3,060
Net profit (₹cr)	17,616	18,155	18,641	18,654	19,221	19,060
PAT YoY	n/a	n/a	n/a	n/a	9.1%	5.0%
Gross NPA %	1.33%	1.40%	1.24%	1.24%	1.15%	1.17%
Net NPA %	0.43%	0.47%	0.42%	0.42%	0.38%	0.41%
Provision coverage	67.9%	66.9%	66.6%	65.9%	67.2%	65.5%
CET1	19.6%	19.9%	20.0%	19.9%	19.7%	19.6%

9. Forensic deep-dive

- **Altman Z · Piotroski F · Beneish M · Sloan accruals — not applicable to banks.** They are built from industrial balance-sheet items (inventories, receivables, current assets, PP&E) that a bank doesn't have, so they are replaced by the checks below.



Bank health checks (from the figures in §1–§8):

- ✓ Gross NPA is easing (1.33% → 1.17% over the last 6 quarters) — asset quality improving.
- ✓ Net NPA 0.41% — low; unprovided bad loans are small.
- ✓ Provision coverage 66% — bad loans are well provided for.
- ✓ Credit cost 0.84% of loans — in line with its recent history (0.70% avg).
- ✓ CET1 19.6% — comfortably capitalised (RBI floor ~8%).
- ⚠ Credit-deposit ratio 95% — loans are outrunning deposits; growth leans on costlier borrowings (margin pressure).
- ⚠ NII grew 5% vs loans 12% — margins are being squeezed (funding costs rising faster than yields).
- ✓ ROA 1.80% — strong (≥1.5% is top-tier for an Indian bank).
- **Promoter pledge (as of 30-Jun-2026):** promoter holds 13.3%; **18.3% of that is pledged** (minor) — 0% ideal, >50% a serious red flag.
- **Contingent liabilities & related-party transactions:** these aren't in the structured XBRL that builds the tables above — they're disclosed only in the **notes to accounts**. They are **not skipped**: the **Analysis section below reads them directly from the filing PDFs** and calls out anything material (large or opaque related-party dealings, sizeable contingent claims). See its forensic assessment for this company's specifics — a blank there means nothing material was disclosed, not that it wasn't checked.

Insider & promoter trades (recent)

- *Recent activity is routine (off-market / designated-person ESOP); no material promoter/open-market signal.*
- ● Other Lopa Ruparel — Sell ₹0.36 cr (Market Sale) · 26-Mar-2025
- ● Other Vaishali Vyas — Sell ₹0.02 cr (Market Sale) · 26-Mar-2025
- ● Other Lopa Ruparel — Sell ₹0.40 cr (Market Sale) · 26-Mar-2025
- ● Other Anita Iyer — Sell ₹0.18 cr (Market Sale) · 26-Mar-2025
- ● Other Vaishali Vyas — Sell 50 sh (Market Sale) · 24-Mar-2025
- ● Other Lopa Ruparel — Sell ₹0.18 cr (Market Sale) · 24-Mar-2025
- ● Other Lopa Ruparel — Sell ₹0.35 cr (Market Sale) · 24-Mar-2025
- ● Other Chakrapani Venkatachari — Sell ₹2.64 cr (Market Sale) · 24-Mar-2025
- ● Other Chakrapani Venkatachari — Sell ₹3.15 cr (Market Sale) · 24-Mar-2025
- ● Other Amit Jagdhari — Sell ₹2.75 cr (Market Sale) · 20-Mar-2025
- ● Other Sreedharan Mo — Sell ₹0.02 cr (Market Sale) · 20-Mar-2025
- ● Other Ashesh Kumar — Sell ₹0.17 cr (Market Sale) · 20-Mar-2025
- ● Other Chakrapani Venkatachari — Sell ₹1.74 cr (Market Sale) · 20-Mar-2025
- ● Other Ashesh Kumar — Sell ₹0.34 cr (Market Sale) · 20-Mar-2025
- ● Other Chakrapani Venkatachari — Sell ₹2.16 cr (Market Sale) · 20-Mar-2025

-  Other Anita Iyer — Sell ₹0.17 cr (Market Sale) · 20-Mar-2025
-  Other Chakrapani Venkatachari — Sell ₹5.56 cr (Market Sale) · 17-Mar-2025
-  Other Ashesh Kumar — Sell ₹0.34 cr (Market Sale) · 17-Mar-2025
-  Other Sarika Mahajan — Pledge ₹0.20 cr (Pledge Creation) · 10-Mar-2025
-  Other Anita Iyer — Sell ₹0.09 cr (Market Sale) · 10-Mar-2025

Shareholding — who actually owns it (as of 30-Jun-2026)

Public holders above 1% (14 disclosed, highest→lowest):

Holder	%	What it is
SBI NIFTY 50 ETF	7.48%	 mutual fund
ICICI PRUDENTIAL LARGE CAP FUND	4.84%	 mutual fund
LIFE INSURANCE CORPORATION OF INDIA	4.77%	 insurance company
HDFC TRUSTEE COMPANY LIMITED-HDFC FLEXI CAP FUND	3.05%	 mutual fund
NPS TRUST- A/C HDFC PENSION FUND MANAGEMENT LIMITED SCHEME E - TIER I	3.02%	provident funds or pension funds
NIPPON LIFE INDIA TRUSTEE LTD-A/C NIPPON INDIA ETF NIFTY 50 BEES	2.93%	 mutual fund
UTI NIFTY 50 ETF	2.46%	 mutual fund
GOVERNMENT OF SINGAPORE	2.17%	 FPI
GOVERNMENT PENSION FUND GLOBAL	1.34%	 FPI
VANGUARD TOTAL INTERNATIONAL STOCK INDEX FUND	1.25%	 FPI
PARAG PARIKH FLEXI CAP FUND	1.19%	 mutual fund
VANGUARD EMERGING MARKETS STOCK INDEX FUND, A SERIES OF VANGUARD INTERNATIONAL EQUITY INDEX FUNDS	1.19%	 FPI
KOTAK FLEXICAP FUND	1.17%	 mutual fund
MIRAE ASSET LARGE CAP FUND	1.16%	 mutual fund

From the company's SEBI Reg-31 shareholding-pattern XBRL on NSE (primary). 'LISTED company' means the holder itself trades on NSE — the way Elcid Investments held ~3% of Asian Paints.

Ownership changes (Mar-2026 → Jun-2026)

These moves happened while the stock traded **₹738–816** (~₹776 avg) that quarter — so that's roughly where they added / trimmed. Now **₹719** (below that zone).

-  **New: PARAG PARIKH FLEXI CAP FUND** (mutual fund) ★ — 0.00% → 1.19% (+1.19pp)
-  **New: KOTAK FLEXICAP FUND** (mutual fund) ★ — 0.00% → 1.17% (+1.17pp)
-  **New: MIRAE ASSET LARGE CAP FUND** (mutual fund) ★ — 0.00% → 1.16% (+1.16pp)
-  **Added: ICICI PRUDENTIAL LARGE CAP FUND** (mutual fund) ★ 4.28% → 4.84% (+0.56pp)
-  **Added: NIPPON LIFE INDIA TRUSTEE LTD-A/C NIPPON INDIA ETF NIFTY 50 BEES** (mutual fund) ★ 2.50% → 2.93% (+0.43pp)
-  **Added: UTI NIFTY 50 ETF** (mutual fund) ★ 2.33% → 2.46% (+0.13pp)
-  **Added: NPS TRUST- A/C HDFC PENSION FUND MANAGEMENT LIMITED SCHEME E - TIER I** (provident funds or pension funds) 2.77% → 3.02% (+0.25pp)
-  **Trimmed: GOVERNMENT OF SINGAPORE** (FPI) ★ 2.39% → 2.17% (-0.22pp)
-  **Exited: KOTAK ARBITRAGE FUND** (mutual fund) ★ — 1.30% → 0.00% (-1.30pp)

Diff of the two most recent SEBI Reg-31 shareholding filings. ★ = notable (promoter / mutual fund / FPI / insurer / listed-company holder) — real conviction or distribution, above retail churn.

💰 Smart-money cost & profit-booking risk

At **₹719**, the institutions whose cost we can estimate (from the quarters they added, Mar-2023→Jun-2026) are  **~13% below cost — underwater, no selling pressure** on a stake-weighted basis.

Holder	Type	Stake	Est. cost zone	Now vs cost
VANGUARD TOTAL INTERNATIONAL STOCK INDEX FUND	FPI	1.25%	₹724–724 (~₹724)	 ~-1% vs cost — near cost, little incentive to sell
GOVERNMENT PENSION FUND GLOBAL	FPI	1.34%	₹724–1,002 (~₹736)	 ~-2% vs cost — near cost, little incentive to sell
LIFE INSURANCE CORPORATION OF INDIA	insurance company	4.77%	₹724–816 (~₹754)	 ~-5% vs cost — near cost, little incentive to sell
PARAG PARIKH FLEXI CAP FUND	mutual fund	1.19%	₹738–816 (~₹776)	 ~7% below cost — underwater, no selling pressure
SBI NIFTY 50 ETF	mutual fund	7.48%	₹724–1,011 (~₹792)	 ~9% below cost — underwater, no selling pressure
NIPPON LIFE INDIA TRUSTEE LTD-A/C NIPPON INDIA ETF NIFTY 50 BEES	mutual fund	2.93%	₹724–1,010 (~₹820)	 ~12% below cost — underwater, no selling pressure
UTI NIFTY 50 ETF	mutual fund	2.46%	₹732–1,011 (~₹863)	 ~17% below cost — underwater, no selling pressure
GOVERNMENT OF SINGAPORE	FPI	2.17%	₹732–1,002 (~₹896)	 ~20% below cost — underwater, no selling pressure

Exact transaction prices aren't disclosed; a holder's cost is **inferred** from the price range of the quarter(s) they added in (SEBI Reg-31 filings are quarterly). Near cost = little selling pressure; large gains = watch for profit-booking unless the stock is still in a strong uptrend. Coverage deepens as more shareholding history is ingested.

Inside view — employee & management sentiment

Employee sentiment:  **B (Strong)** · Management:  **C (Average)** — from employee reviews.

- Overall **3.76/5** · **+0.09 vs industry** (peers 3.67) · **56.9k reviews** (high confidence) · CEO Sashidhar Jagdishan
- Sub-ratings: work-life 3.51 · salary 3.39 · job-security 3.87 · career-growth 3.07 · culture 3.50 · work-satisfaction 3.45 · skill-dev 3.73
- **68% rated 4★+** · 17% rated 1–2★
- **Middling internal sentiment** — broadly in line with its industry; neither a flag nor an edge.

Employee-reported (AmbitionBox) — a **culture/management signal, not a financial metric**. Each of the two scores is graded A→E, leaning on the gap vs the company's **own industry** (so beating/lagging peers matters more than the raw star rating). Verify against the source.

10. Valuation

- Market cap **₹1,106,862 cr** · sector: Financial Services
- **Valuation lens for this business: P/B judged against ROE** — the right lens for a lender; its P/E and a DCF are unreliable, so they are shown only for context.

Each multiple on its own line, with what it says here — and whether that reads cheap or dear:

- **P/E (TTM) = 14.6** — rupees paid today for ₹1 of the last twelve months' profit. Lower looks cheaper, but a low P/E can equally signal a cyclical earnings peak or a value trap, so it only means something *against the stock's own history and its peers*, never on its own.
- **P/B = 1.98** — rupees paid for ₹1 of net worth (book value). This is the primary lens for banks/NBFCs, where it must be read *together with ROE* — a higher P/B is only justified by a durably higher ROE.
- **Earnings yield = 6.83%** — the inverse of P/E: annual profit as a percentage of the price you pay. Compare it to the ~7% 10-year government-bond yield (your risk-free alternative) — well below 7% means you are paying up for future growth; near or above it means the earnings are cheap today.
- **ROE = 13.4%** — how hard the equity works (profit ÷ net worth). For a lender this is the number the P/B has to be earned against: a rich P/B on a mediocre ROE is a warning; a fair P/B on a high, stable ROE is the sweet spot.
-  *Share count is from the FY2026 annual filing, with no split, bonus or rights issue on record since. Buybacks, QIPs and ESOP allotments after that filing aren't reflected.*
- P/B 2.0 — **0th percentile** of its 3-yr range (cheap vs its own history)
- Sector (Private Sector Bank): P/E vs median 14.6 — cheaper than 50% of 16 peers

Peer comparison — by market-cap tier

Peers share this company's NSE industry classification, grouped by size (bands shown), up to 5 peers per tier ranked by market cap. Company names are shown, not tickers;  marks the company this report is about (always listed in its own tier).

Large cap (≥ ₹50,000 cr)

Company	M-cap (₹cr)	P/E	P/B	ROE%	ROA%	NetMargin%	GNPA%
HDFC Bank Ltd. ◀	1,106,862	14.6	2.0	13.4	1.7	24.3	1.1
ICICI Bank Ltd.	932,382	17.9	2.8	14.9	2.1	29.5	1.4
Kotak Mahindra Bank Ltd.	399,402	26.9	3.0	10.4	1.8	25.2	1.2
Axis Bank Ltd.	376,055	15.4	1.8	12.0	1.3	19.3	1.2
IDBI Bank Ltd.	90,740	9.4	1.3	14.1	2.0	32.8	2.3
Federal Bank Ltd.	80,090	18.1	2.1	10.6	1.1	14.9	1.6

Mid cap (₹10,000–50,000 cr)

Company	M-cap (₹cr)	P/E	P/B	ROE%	ROA%	NetMargin%	GNPA%
Karur Vysya Bank Ltd.	31,005	11.3	2.2	17.8	1.8	22.7	0.8
Bandhan Bank Ltd.	29,159	23.8	1.1	4.8	0.6	5.6	3.3
RBL Bank Ltd.	25,157	28.7	1.5	5.0	0.5	5.7	1.5
City Union Bank Ltd.	21,399	15.3	2.0	12.6	1.4	19.3	1.9
Jammu & Kashmir Bank Ltd.	15,666	6.8	0.9	14.1	1.2	18.0	2.5

Small cap (< ₹10,000 cr)

Company	M-cap (₹cr)	P/E	P/B	ROE%	ROA%	NetMargin%	GNPA%
DCB Bank Ltd.	6,678	8.5	1.0	11.2	0.8	9.9	2.5
CSB Bank Ltd.	5,618	8.5	1.1	12.9	1.1	14.1	1.7

How to read the valuation numbers. The three multiples above each answer a different question, and none of them means much in isolation — a number only becomes cheap or dear next to the company's own history and its peers. Beyond the multiples themselves, two supporting reads matter. The **own-history percentile** places today's multiple within the stock's own past range, which is more intuitive than a raw median: below the 35th percentile is cheap relative to itself, above the 65th is rich. The **forward multiple**,

when it appears, is the same ratio computed on the profit management has *explicitly guided* for next year — it shows up only when there is real guidance to anchor it, so it is a genuine signpost rather than a projection we invented. Finally, the **valuation lens** named above is chosen automatically from the company's sector, because the fair yardstick differs by business: P/B-on-ROE for financials, EV/EBITDA on mid-cycle margins for asset-heavy cyclicals, and P/E for everything else.

11. Valuation — what the price implies (reverse-DCF)

- Reverse/forward-DCF is not meaningful for a lender/financial; rely on the P/B-on-ROE and the peer comparison in §10. FCFF-DCF not meaningful for financials.

How to read this section. A discounted-cash-flow (DCF) values a business as the present value of all the cash it will hand its owners over time. Rather than *guess* that future cash, the reverse-DCF flips the question — it solves for the growth rate today's *price* already assumes, then asks whether that bar is realistic next to what the company has actually delivered. That is the more robust read, which is why it leads: if the company can clear the implied bar the stock is cheap, and if it cannot, the stock is rich. The Monte-Carlo cross-check does the opposite — it runs thousands of scenarios, varying growth, margin and the discount rate, to produce an intrinsic-value *range* rather than a single false-precision number; the margin of safety is simply how far the current price sits below that range (your cushion for being wrong), and a price above the range means you are paying a premium with no cushion at all. Two inputs drive it: WACC is the blended cost of the company's debt and equity (the rate future cash is discounted at), and terminal growth is the modest rate that cash is assumed to compound at forever after the explicit forecast. For lenders and deeply cyclical or capex-heavy names a point-estimate DCF is unreliable, so there the reverse-DCF and the §10 multiples carry the weight — and in every case a DCF is assumption-driven, so read the range, never a single point.

12. Statistical forensics

- Benford first-digit conformity: MAD 0.0043 → **close conformity** (n=1027).
- Sector-relative z-scores (Private Sector Bank, vs 6 ratios over peers):

Ratio	Value	Peer mean	z
P/E	14.65	17.89	-0.27
P/B	1.98	1.57	0.70
ROE%	13.37	10.43	0.68
NetMargin%	24.28	15.94	0.99
ROA%	1.71	1.16	0.98
GNPA%	1.15	1.84	-0.89

How to read this section. Benford's Law observes that in large sets of naturally occurring financial figures the *leading* digit is not uniform: a 1 starts a number about 30% of the time and a 9 only about 5%. The MAD (mean absolute deviation) score measures how far the company's reported numbers stray from that expected shape — a low MAD means they conform and look natural, while a high MAD means the numbers look 'engineered'. It is only ever a soft flag to dig into, never proof of anything on its own. The sector z-

scores then place each of the company's ratios in standard deviations from the peer average: within one standard deviation is in line with peers, while beyond two is a genuine outlier. Read the direction with the metric — a high z-score is good for ROE, ROCE and margins, reads as expensive for P/E and P/B, and means more leverage for debt-to-equity.

13. Technical snapshot

- Close ₹719.05 · SMA20/50/200 716/728/821 · RSI 47 · -28.8% from 52w high
- Signals: below 200-DMA (downtrend), 50<200 (death-cross regime), RSI neutral (47), MACD bullish, delivery% normal

How to read this section. The SMA 20, 50 and 200 are the average closing prices over the last 20, 50 and 200 trading days, smoothing out daily noise to reveal the underlying trend: a price above the 200-day average signals a long-term uptrend, and the 50-day crossing above the 200-day is a bullish 'golden cross' regime (the reverse being a bearish 'death cross'). RSI(14) measures momentum on a 0–100 scale, where above 70 is overbought, below 30 is oversold, and roughly 40–60 is neutral. The '% from 52-week high' shows how far the stock has pulled back from its recent peak. Taken together, technicals describe price behaviour and timing — they complement, never replace, the fundamentals and valuation above.

14. Notes

- Statements are standalone; pass the consolidated flag for group-level figures.
- Bank ratios are computed from the results filing: $NIM = NII \div \text{average total assets}$ (a proxy — banks' own NIM divides by interest-earning assets only, so it reads a little higher); ROA / ROE on average balances; $\text{credit cost} = \text{provisions} \div \text{average advances}$; $\text{provision coverage} = 1 - \text{net NPA} \div \text{gross NPA}$. NPA % and CET1 are as reported by the bank (a few filings state them 100× too small; those are rescaled).

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Analysis

Here is a thorough, section-by-section forensic analysis of HDFC Bank Limited.

1. Earnings quality & cash conversion 💰

For a financial institution like a bank, traditional measures of earnings quality like CFO/PAT or Free Cash Flow (FCF) are not applicable. This is because a bank's operating cash flow (CFO) is primarily driven by changes in its core balance sheet items — accepting deposits (a cash inflow) and giving out loans (a cash outflow). These flows reflect business growth and funding strategy, not the conversion of reported profit into cash.

Therefore, metrics such as the accruals ratio, FCF, FCFE (Free Cash Flow to Firm), and FCFE (Free Cash Flow to Equity) are omitted as they would be misleading. The quality of a bank's earnings is instead assessed through the stability of its Net Interest Income (NII), the sustainability of its non-interest income, its control over operating costs, and most importantly, the adequacy of its provisioning against potential loan losses. These aspects will be analysed in the subsequent sections on profitability, balance sheet health, and asset quality.

2. Profitability & returns

This section evaluates the bank's core profitability, efficiency, and returns on capital.

Net Interest Income (NII) and Net Interest Margin (NIM)

Metric	FY2024	FY2025	FY2026
NII (₹ cr)	108,532	122,670	128,686
NII YoY Growth	25.0%	13.0%	4.9%
NIM (% of total assets)	3.00%	3.26%	3.11%

- **NII Growth:** The bank's core engine, NII, has seen a **sharp deceleration in growth**, slowing from **25.0%** in FY24 to just **4.9%** in FY26. This is a significant slowdown and a key area of concern.
- **Net Interest Margin (NIM):** The NIM, which measures the profitability of the bank's core lending and investment activities, fell from **3.26%** in FY25 to **3.11%** in FY26. The latest quarterly NIM for Q1 FY27, as per the press release, was **3.26%** on total assets.

 **The divergence between loan growth (12.1% in FY26) and NII growth (4.9%) indicates significant margin compression.** Management commentary from the Q1 FY27 earnings call explains this is due to intense competition for deposits, elevated costs for non-retail deposits, and a high reliance on borrowings. CFO Mr. Srinivasan Vaidyanathan stated, "the cost of funds is the biggest opportunity on the margin... but it is not going to change in a hurry." This suggests that margin pressure may persist in the near term.

Operating Efficiency and Costs

- **Cost-to-Income Ratio:** This ratio measures the bank's operating expenses as a percentage of its net income. A lower ratio indicates higher efficiency. HDFC Bank has shown excellent cost control, with the ratio improving to **38.0%** in FY26 from over 40% previously. As per the Q4 FY26 earnings call, CEO Mr. Sashidhar Jagdishan attributed this to harnessing efficiencies from past investments in technology and distribution, noting this "will be a key driver to enhance return on asset over the next 1, 2, 3 years." This is a significant operational strength. 
- **Credit Cost:** This measures the provisions for bad loans as a percentage of the loan book. In FY26, the credit cost was **0.84%** of average loans, which is a manageable level and in line with its historical average. This suggests that despite rapid growth in the past, the bank is not yet seeing major stress in its loan portfolio requiring outsized provisions. For Q1 FY27, the credit cost ratio was even lower at **0.40%** (as per press release), though this can be lumpy quarter-on-quarter.

Shareholder Returns (ROA & ROE)

Metric	FY2024	FY2025	FY2026
ROA	1.68%	1.79%	1.80%

Metric	FY2024	FY2025	FY2026
ROE	13.9%	14.4%	14.1%

- **Return on Assets (ROA):** This is a key indicator of a bank's profitability relative to its total assets. HDFC Bank's ROA stood at a strong **1.80%** for FY26. An ROA above 1.5% is considered top-tier for an Indian bank, and HDFC Bank consistently operates at this level, demonstrating superior profitability. ✅
- **Return on Equity (ROE):** This measures the return generated on shareholders' capital. The ROE for FY26 was **14.1%**. This is a healthy return for a bank of this scale and justifies its premium valuation over book value. The consistency of this return is a testament to the bank's durable franchise.

Overall, while the bank faces significant near-term headwinds on margins, its operational efficiency and robust return profile remain intact. The key challenge is to navigate the high-cost funding environment to re-accelerate NII growth.

3. Balance-sheet health 🏛️

This section assesses the bank's capitalisation, asset quality, and funding structure.

Capital Adequacy

- **CET1 Ratio:** The Common Equity Tier 1 ratio is the core measure of a bank's capital strength and ability to absorb losses. As of Q1 FY27, HDFC Bank's CET1 was a very strong **19.6%**.
- This is substantially above the RBI's regulatory minimum (including buffers) of around 8%. This "fortress balance sheet" provides a massive cushion against unexpected shocks and gives the bank ample capacity to grow its loan book for years without needing to raise fresh equity capital. This is a major structural advantage. ✅

Asset Quality

Metric	FY2025	FY2026	Q1 FY27
Gross NPA %	1.33%	1.15%	1.17%
Net NPA %	0.43%	0.38%	0.41%
Provision Coverage (PCR)	67.9%	67.2%	65.5%

- **Non-Performing Assets (NPAs):** Asset quality is pristine and a standout feature. **Gross NPAs** have improved from **1.33%** in FY25 to **1.17%** as of June 2026. **Net NPAs** (the unprovisioned bad loans) are exceptionally low at just **0.41%**. This indicates that the vast majority of bad loans are already provided for and pose little threat to future profitability. ✅
- **Provision Coverage Ratio (PCR):** At **65.5%** (or **67.2%** in Q4 FY26), the PCR indicates a solid buffer against recognized bad loans. In the Q1 FY27 earnings call, CFO Mr. Vaidyanathan explained that the headline PCR seems lower than in 2019 (71%) mainly due to a higher proportion of the secured agricultural book; excluding agri, the coverage is around 70%, similar to historical levels. This provides important context and suggests the coverage remains robust.

Funding and Liquidity

- **Deposit Growth:** Deposit growth has been healthy, running at **14.4%** in FY26 and **14.7%** YoY in Q1 FY27, keeping pace with or slightly exceeding loan growth. This is a positive sign that the bank is actively working to fund its balance sheet.
- **Credit-Deposit (CD) Ratio:** This ratio measures loans as a percentage of deposits. At **94.6%** in FY26, the CD ratio is elevated. A ratio above 90% suggests the bank is lending out almost every rupee it gathers in deposits, forcing it to rely on more expensive wholesale borrowings to fund growth. This directly correlates with the margin pressure discussed earlier. While management stated in the Q4 FY26 earnings call that the "loan deposit ratio is not a constraint," it remains a key metric to monitor. Bringing this ratio down by growing deposits faster than loans is crucial for margin improvement. ⚠️

4. Growth & momentum

- **Revenue and Profit Trajectory:** HDFC Bank has a long history of strong growth. However, this has moderated recently. **PAT growth** slowed from **37.9%** in FY24 to **10.9%** in FY26.
- **Recent Quarterly Performance:** For the latest quarter (Q1 FY27), reported PAT growth was a muted **5.0%** YoY. However, management provided a crucial clarification in the press release and earnings call: the prior year period included significant one-off gains from the HDB Financial Services IPO. Adjusted for these one-offs and other items, PAT growth was approximately **9.8%**, which is a more representative figure.
- **Loan Growth:** Advances grew **12.1%** in FY26. In the latest quarter (Q1 FY27), gross advances grew by **15.4%** YoY, with strong traction in corporate (18.6%) and MSME (18.7%) loans, while retail loans grew by a more modest 7.2%.
- **Management Outlook:** Despite the recent moderation, management appears confident. In the Q1 FY27 earnings call, CEO Mr. Jagdishan stated, "Advances, as we had envisioned a while ago, I think we are on the verge of pressing the pedal." This signals an intent to re-accelerate growth, supported by a healthy credit demand environment.

The growth story is one of moderation from a high base, compounded by sector-wide margin pressures. However, underlying momentum in advances remains healthy, and management commentary is turning more optimistic.

5. Forensic assessment

This section goes beyond the standard numbers to look for potential accounting or governance red flags.

- **Standard Forensic Models (Altman, Piotroski, Beneish):** As HDFC Bank is a financial institution, these models, which are designed for industrial companies, are not applicable.
- **Bank-Specific Health Checks:**
 -  **Asset Quality:** Gross and Net NPAs are low and improving.
 -  **Capitalisation:** CET1 is extremely strong at 19.6%.
 -  **Funding Pressure:** The CD ratio at ~95% is high, indicating reliance on non-deposit funding.
 -  **Margin Squeeze:** NII growth of 4.9% lagging loan growth of 12.1% is a clear sign of margin pressure.
 -  **Profitability:** ROA remains best-in-class at 1.80%.
- **Promoter Pledge:** Promoters hold 13.3%, of which **18.3%** is pledged. This represents a pledge on about 2.4% of the total share capital, which is minor and not a significant concern.

- **Benford's Law Analysis:** The financial data shows a Mean Absolute Deviation (MAD) of **0.0043**, indicating **close conformity** with the expected first-digit distribution. This suggests the numbers are naturally occurring and not engineered. ✅
- **Contingent Liabilities:** The Notes to the Financial Statements from the Q1 FY27 results filing (Note 15 and 16) disclose two key items:
 1. **Former Chairman's Resignation:** The bank appointed external law firms to review matters related to the former Chairman's resignation. The review concluded that the allegations "were not substantiated," and the review has "no impact on the financial results."
 2. **Dubai (DIFC) Branch Matter:** The bank's Dubai branch received a notice from the Dubai Financial Services Authority (DFSA) prohibiting it from taking on new clients for certain services. The bank states, "The business undertaken at the DIFC Branch is not material to the Bank's operations or its financial position." While management has downplayed the financial impact of these issues, they represent governance and regulatory overhangs that warrant monitoring.
- **Related-Party Transactions (RPTs):** The summary of the 32nd AGM proceedings (dated August 5, 2026) lists shareholder approval for a "modification to the Material Related Party Transaction with HDFC Life Insurance Company Limited." HDFC Life is a key subsidiary (50.5% stake). While transactions are expected, the need for modification and shareholder approval highlights the scale of these dealings. The transactions are with a group company in the normal course of business, which is not a red flag, but the disclosure is duly noted.

Overall, the forensic check reveals a fundamentally sound institution. The main flags are external (regulatory action in Dubai) or related to sector-wide business pressures (margins), not internal accounting manipulation.

6. Valuation 📊

The primary valuation lens for a bank is the **Price-to-Book (P/B) ratio, judged against its Return on Equity (ROE)**.

- **Current P/B Multiple:** The stock is trading at a TTM **P/B ratio of 1.98**.
- **Historical Context:** This valuation is at the **0th percentile** of its own 3-year range. This means the stock is trading at the cheapest it has been relative to its book value in the last three years. This is a very strong indicator of historical cheapness.
- **Peer Comparison:**
 - HDFC Bank (P/B 2.0, ROE 13.4%)
 - ICICI Bank (P/B 2.8, ROE 14.9%)
 - Kotak Mahindra Bank (P/B 3.0, ROE 10.4%)
 - Axis Bank (P/B 1.8, ROE 12.0%)

HDFC Bank currently offers a superior ROE compared to Kotak Bank for a significantly lower P/B multiple. While its ROE is slightly lower than ICICI Bank's, its P/B multiple is ~30% cheaper. This suggests that on a risk-adjusted basis, HDFC Bank's valuation is attractive compared to its large private peers.

- **Earnings Yield:** The earnings yield (inverse of P/E) is **6.83%**, which is roughly in line with the 10-year government bond yield (~7%). This suggests the market is not pricing in aggressive future growth and that current earnings are fairly priced.
- **Smart Money Activity:** Recent shareholding changes (Mar-26 to Jun-26) are very telling. Several large mutual funds, including **Parag Parikh Flexi Cap, Kotak Flexicap, and Mirae Asset Large Cap, have initiated new positions**, while ICICI Pru Large Cap has added to its stake. This indicates that professional investors were buying the

stock during a period of price weakness, viewing it as an opportunity. Furthermore, most large institutional holders are estimated to be **underwater on their recent purchases**, reducing the likelihood of imminent selling pressure. ✓

Valuation appears compelling from both a historical and a relative perspective, especially given the quality of the franchise.

7. Verdict (the closing section — end the note here) 🎯

🎯 Verdict: Accumulate

HDFC Bank represents a classic case of a high-quality franchise facing near-term, sector-wide headwinds, leading to a significant valuation de-rating. The current price offers a compelling entry point for long-term investors to accumulate a stake in India's largest and arguably best-managed private sector bank at a valuation not seen in years.

Key Reasons:

- ✓ **Fortress Balance Sheet:** The bank is exceptionally well-capitalised with a CET1 ratio of **19.6%**, providing a massive buffer and ample room for future growth.
- ✓ **Pristine Asset Quality:** With Net NPAs at a mere **0.41%**, asset quality remains best-in-class, insulating the bank from major credit shocks.
- ✓ **Compelling Valuation:** The stock is trading at a **P/B of 1.98**, the lowest in its 3-year history (0th percentile), and at a significant discount to peers like ICICI Bank and Kotak Bank on a P/B-for-ROE basis.
- ✓ **Institutional Conviction:** The entry of marquee mutual funds like Parag Parikh Flexi Cap during the recent price correction signals strong professional investor confidence in the long-term story.
- ✓ **Operational Excellence:** The bank continues to display superior efficiency, with a best-in-class Cost-to-Income ratio of **38.0%**.

Main Risks & Red Flags:

- ⚠️ **Margin Headwinds:** The primary risk is the ongoing pressure on Net Interest Margins (NIM) due to intense deposit competition and a high CD ratio. Management has guided that this will not resolve "in a hurry."
- ⚠️ **Slowing Growth:** Both NII and PAT growth have decelerated significantly. While there are signs of growth re-acceleration in the loan book, a return to historical high-growth rates appears unlikely in the short term.
- 🔴 **Regulatory Overhang:** While deemed "not material" by management, the operational restrictions on the Dubai (DIFC) branch represent a regulatory issue that needs monitoring.

What to Watch For:

- NIM Trajectory:** A stabilisation and subsequent expansion of the Net Interest Margin is the single most important catalyst. Watch for NII growth to start matching or exceeding loan growth.
- Credit-Deposit Ratio:** Progress in bringing the CD ratio below 95% and towards the 90% mark by accelerating deposit mobilisation.
- Merger Synergies:** Commentary on the tangible benefits of the HDFC Ltd. merger, particularly in cross-selling to the mortgage customer base and improving the liability franchise. The bank reported that liability account penetration for former HDFC customers has risen from 36% to over 60%, a trend that needs to continue.

Trading levels & setup

Computed from the daily price history — support/resistance **zones** (confluence of swing pivots, moving averages, 52-week extremes, volume-by-price and round numbers), market structure, and a reward:risk-framed entry/stop/target. These are **timing levels, not a call** — they defer to the fundamental verdict above.

Structure: down-trend (lower highs & lows) · last swing high ₹740 · last swing low ₹682 · close ₹719.05 · ATR 1.9%

In plain English. HDFCBANK is in a down-trend — lower highs and lower lows, so rallies tend to get sold; treat bounces with caution. At ₹719 it's sitting right on its nearest floor, ₹710–₹720 — a spot where the 20-day average, a round number and a prior turning point all coincide, and the more of those that line up the more likely buyers defend it. The first ceiling above is ₹727–₹740, almost immediately overhead; a break and a daily *close* above it is what would signal the next leg up. **The risk/reward is poor right now:** from here you'd risk about ₹19 a share (to the ₹696 stop) to chase only ~₹17 of upside (the ₹732 target) — just 0.9:1. Better to wait for a cheaper entry deeper into support, or a confirmed breakout above the ceiling, before committing.

Support zones (nearest first)

Zone (₹)	Confluence	Built from
710–720	●●○○○	the 20-day average, a round number and a prior turning point
698–700	●○○○○	a round number and a prior turning point
682–687	●●○○○	the 52-week extreme and a prior turning point

Resistance zones (nearest first)

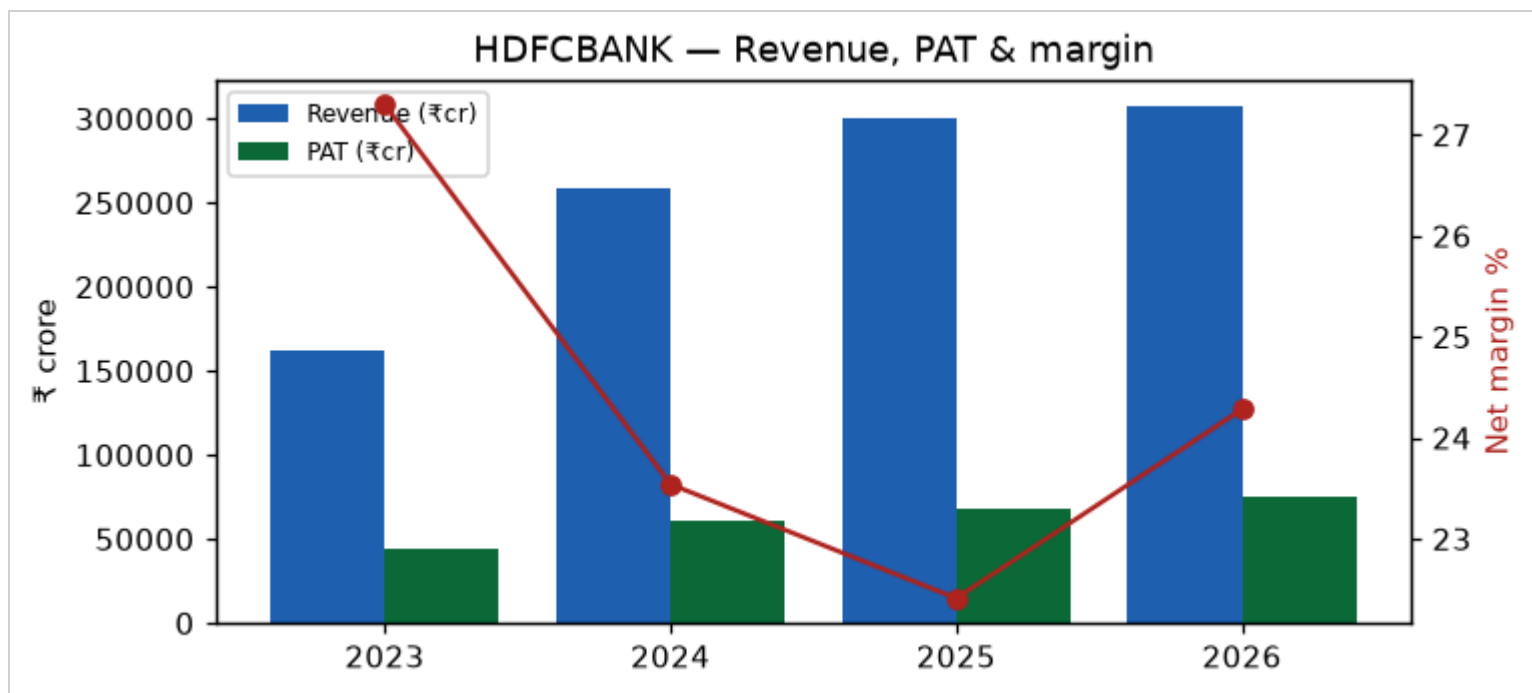
Zone (₹)	Confluence	Built from
727–740	●●●●●	the 50-day average, a prior turning point and a heavy-volume price band
990–999	●●○○○	a prior turning point
1,006–1,020	●●●○○	the 52-week extreme and a prior turning point

Setup — down structure: Near the ₹710–₹720 support zone (price is in it now), but reward:risk is thin at 0.9:1 — stop ₹696, first target ₹732. Wait for a better entry or a confirmed breakout.

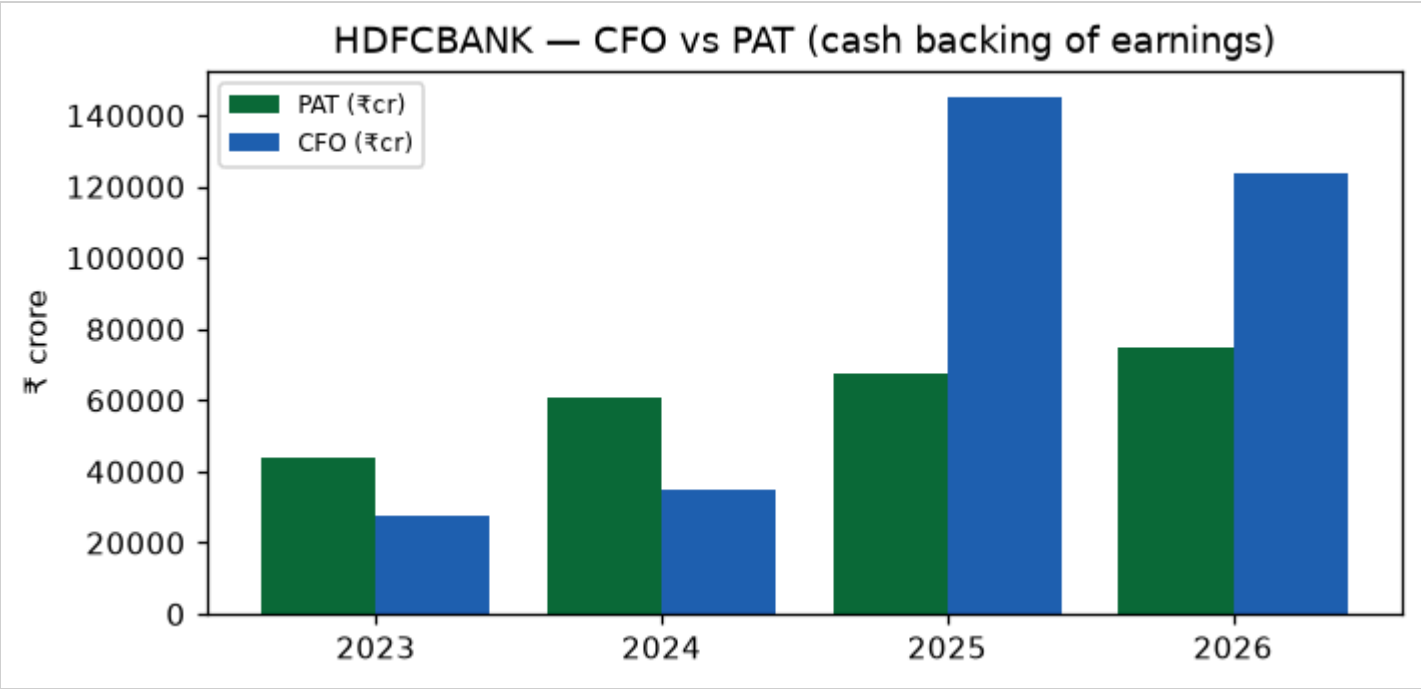
How to read. Support is where buyers have repeatedly stepped in (a floor); resistance where sellers have capped it (a ceiling). A zone backed by more methods — higher confluence (more dots) — and by more volume is a stronger level than any single line. The **stop** is your invalidation: if price closes below it, the setup was wrong, so you exit small rather than hope.

Reward:risk weighs the distance to the first target against the distance to the stop — below ~1.5:1 the trade isn't worth the risk. Levels are probabilities, not promises, and they never override the fundamental verdict above.

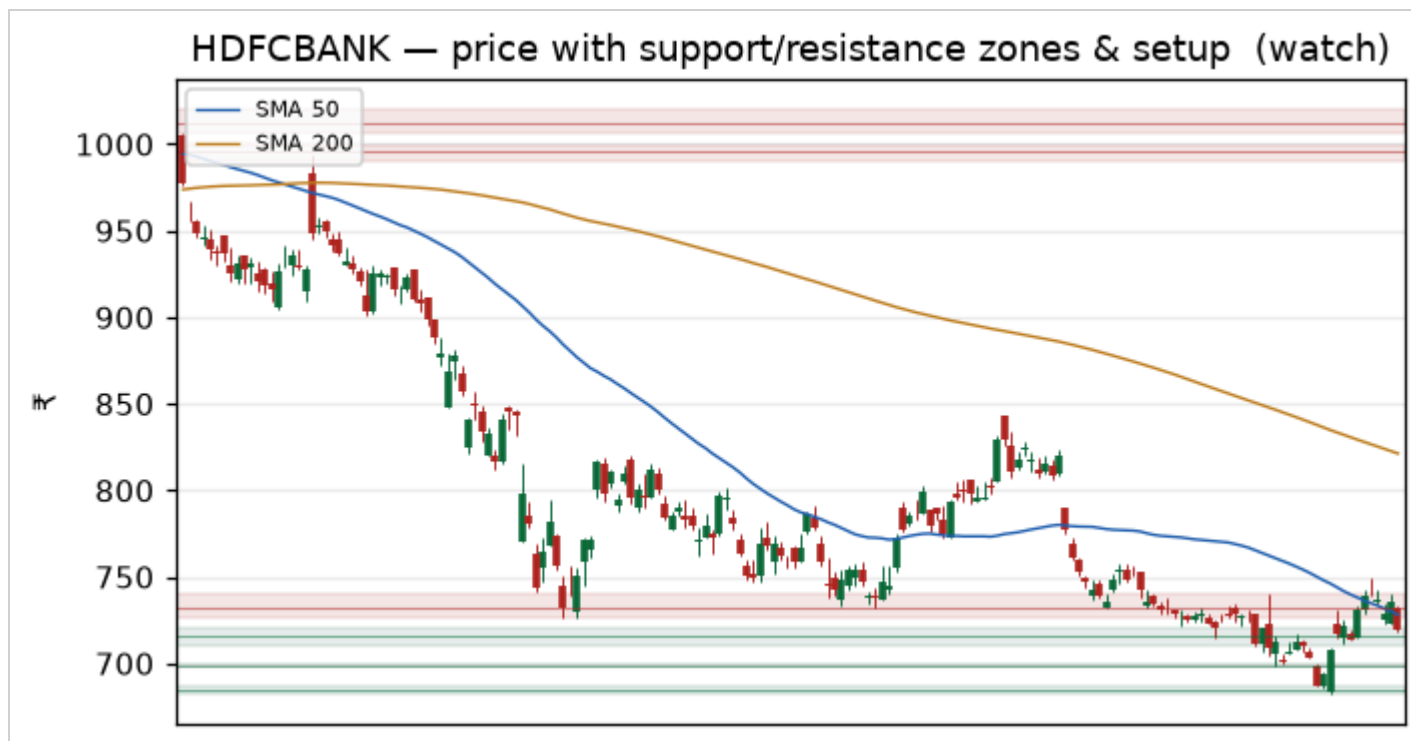
Charts



Revenue, PAT & net margin



CFO vs PAT — earnings quality



HDFCBANK: last 180 sessions — support (green) / resistance (red) zones, 50 & 200-DMA, and the entry/stop/target setup. Levels are computed, not advice.

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